



ACF 255

FINANCIAL ACCOUNTING 1

LESSON 2

Accounting Concepts, Recognition and Measurement of elements of the financial statement

Department of Accounting and Finance
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Learning Objectives



Discuss

the concepts that underpin how accounting information should be presented and disclosed

Discuss

the elements of financial statements

Identify

the recognition criteria for the elements of the financial statements

Discuss

some bases for measuring elements in the financial statements

Explain

the accounting equation

Explain

the double entry principle

Accounting Concepts

ACCOUNTING CONCEPTS

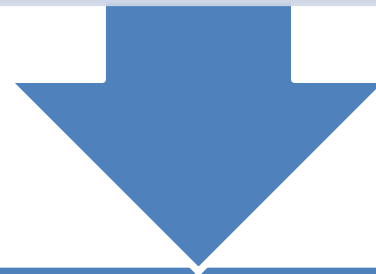
- The historical cost concept requires that assets are normally shown at cost price.
- Cost price is the basis for valuation of the assets.

- Accounting information is traditionally only concerned with facts that
- Can be measured in monetary units.
- Most people will agree to the monetary value of the transaction.

ACCOUNTING CONCEPTS

Going concern

Financial statements are prepared under the assumption that the entity will continue to operate for the foreseeable future.



Implications in accounting:

justification for use of
historical costs

systematic allocation of
depreciation

supports the use of
prepaid expenses (an
asset).

ACCOUNTING CONCEPTS

Accrual basis/Matching concept

- Under the accrual basis, financial transactions and other events are recognized when they occur (and not when the cash relating to the transaction is received or paid) and are recorded in the financial statements of the periods they relate.
- **Revenues** and **expenses** are recognized when **earned** or **incurred**
- Profit is determined by matching revenue earned against expenses incurred in earning it (**matching convention**).

ACCOUNTING CONCEPTS

The business entity concept

- In financial reporting a business entity is considered to be separate from its owners.
- Transaction of the owners should be separated from the business transactions
- The equity capital of a business can be thought of as an amount that the business entity owes to its owners.

ACCOUNTING CONCEPTS

The dual aspect concept

- The dual aspect concept states that there are two aspects of accounting – one represented by the assets of the business and the other by the claims against them.
- This concept can be summarised by a form of the accounting equation:

$$\text{Assets} = \text{Capital} + \text{Liabilities}$$



ACCOUNTING CONCEPTS

Materiality

- Information is material if omitting it or misstating it could influence decisions that users make on the basis of financial information about a specific reporting entity.
- Whether an item is material or not depends on its magnitude or its nature or both in the context of the specific circumstances of the business.

ACCOUNTING CONCEPTS

Substance over form

- Information should represent the substance or economic reality of the financial transactions, even if the economic reality is not consistent with the legal position.
- An example of ‘substance over form’ arises when an entity effectively controls the use of an item of equipment even though it is not the legal owner. The equipment should be treated as an asset.



ACCOUNTING CONCEPTS

Consistency

- For fair presentation of financial statements, presentation and classification of items in financial statements should stay the same from one period to the next.

Exceptions:

- Changes required by an IFRS
- Significant change in nature of operations

ACCOUNTING CONCEPTS

Time interval

- Requires that an entity will prepare financial statements at regular intervals during the year

Elements of Financial Statements

Recap...

Do you recall the components of a complete set of financial statements?

- The statement of financial position at the end of the reporting period 
- The statement of profit or loss and other comprehensive income for the reporting period 
- Statement of cash flows for the reporting period 
- Statement of changes in equity for the reporting period 
- Notes comprising summary of significant accounting policies and other explanatory information

Elements of Financial Statements

Financial statements are constructed using the elements of the financial statements. Hence, the elements are the building blocks.

Income

Expenses

Assets

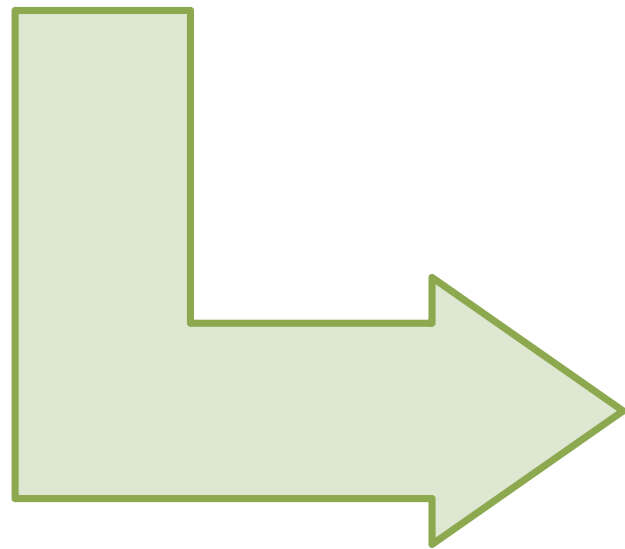
Liabilities

Equity

Summary of the Elements of FS

Directly related to
performance

- Income
- Expenses



Directly related to
financial position

- Assets
- Liabilities
- Equity

Assets



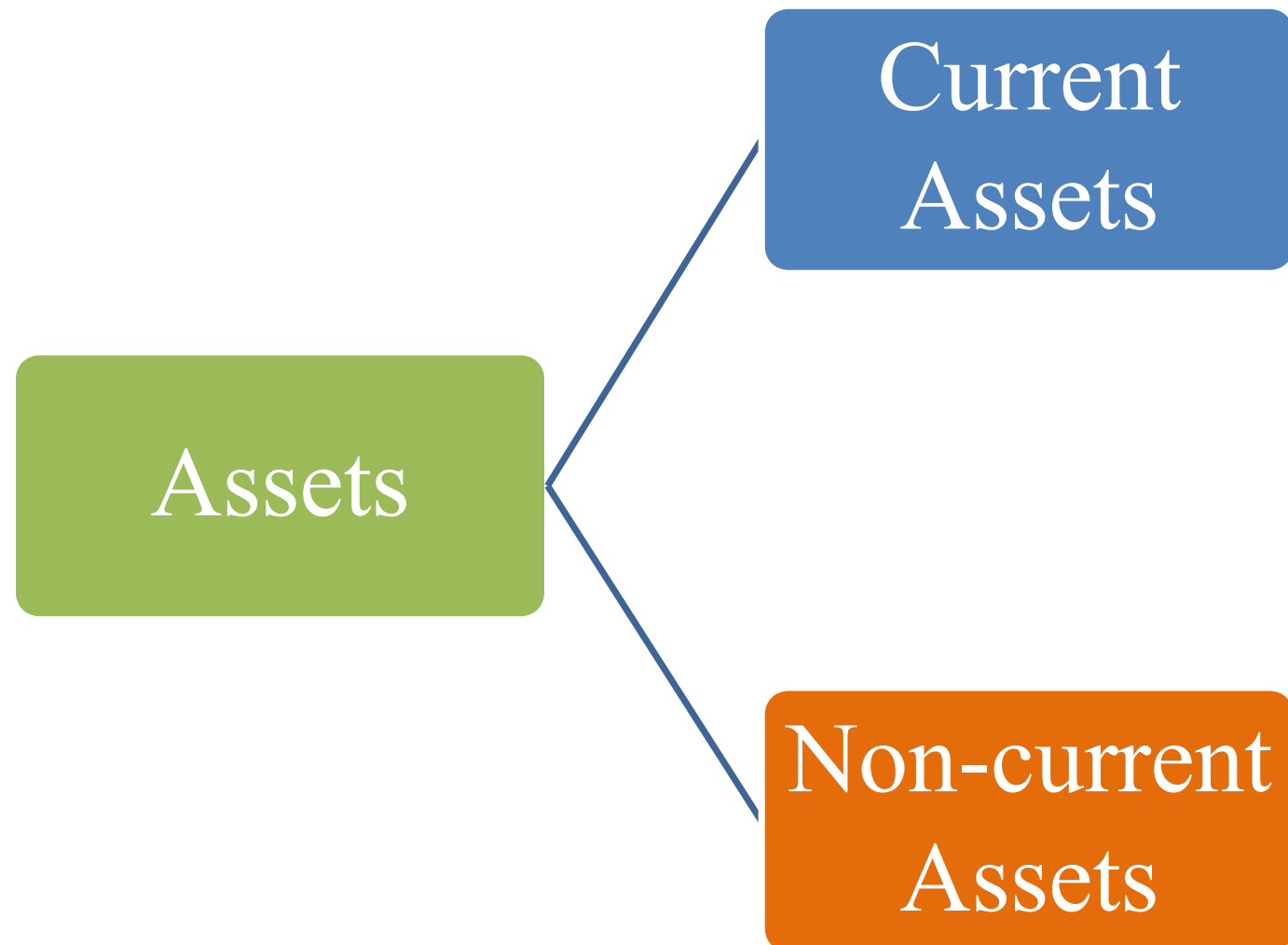
The Conceptual Framework defines an asset as ‘a present economic resource controlled by the entity as a result of past events.

An economic resource is a right that has the potential to produce economic benefits.’

The resources of the organization

Assets Classification

In the statement of financial position, assets are categorized into two main types:



- **Current assets** are cash and other assets that the business expects to convert into cash, sell or use up within one year.

Examples: **cash, marketable securities, prepaid expenses, receivables, inventory.**

- **Non-current assets** have potential to produce economic benefits for more than a year.

Examples: **Property, plant and equipment, Financial assets such as government bonds, Intangibles such as patents, trademarks, goodwill.**

Liabilities



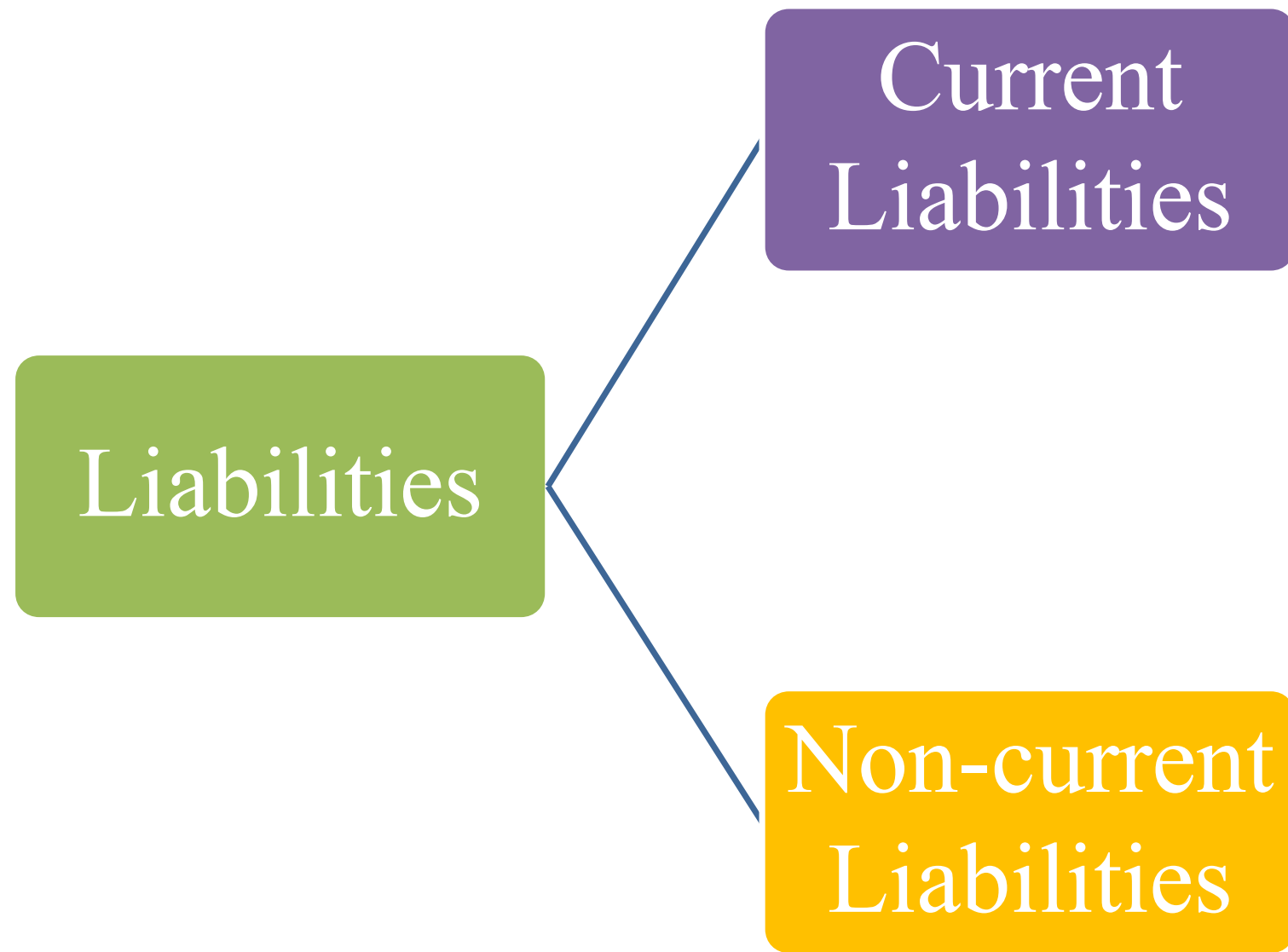
The Conceptual Framework defines a liability as a ‘present obligation of the entity to transfer an economic resource as a result of past events.’

An obligation is a duty or responsibility that the entity has no practical ability to avoid.’

The debts of an organization

Liabilities Classification

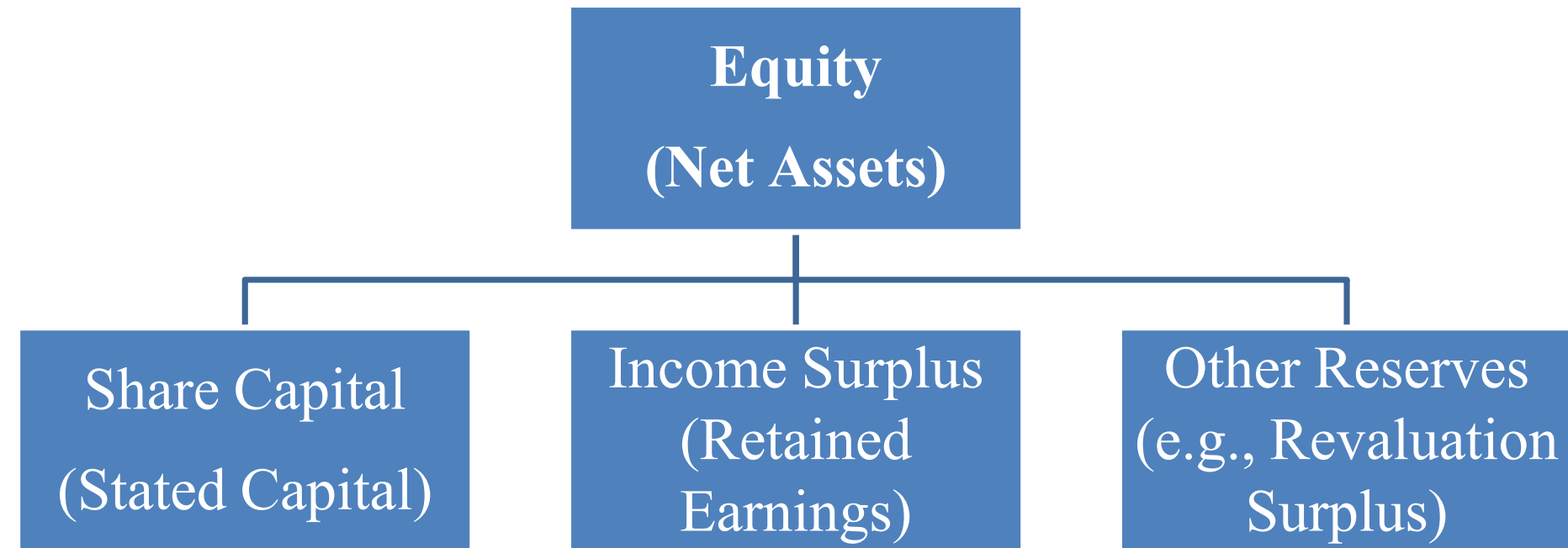
It is usual to categorise liabilities in the statement of financial position into two:



- **Current liabilities** are obligations payable within a year
- Examples: **bank overdraft, account payables, accrued expenses, short-term loans, unearned revenues.**
- **Non-current liabilities** are amounts not payable within the next year.
- Examples: **long-term loans, mortgages payable, bonds payable.**

Equity

- Equity is the residual interest in the business that belongs to its owner or owners after the liabilities have been deducted from the assets. It is therefore sometimes referred to as the ‘net assets’
- Equity represents the amount of capital invested in the business by the owners.
- Equity consists of share capital (owners' contribution), retained profits, and other reserves.

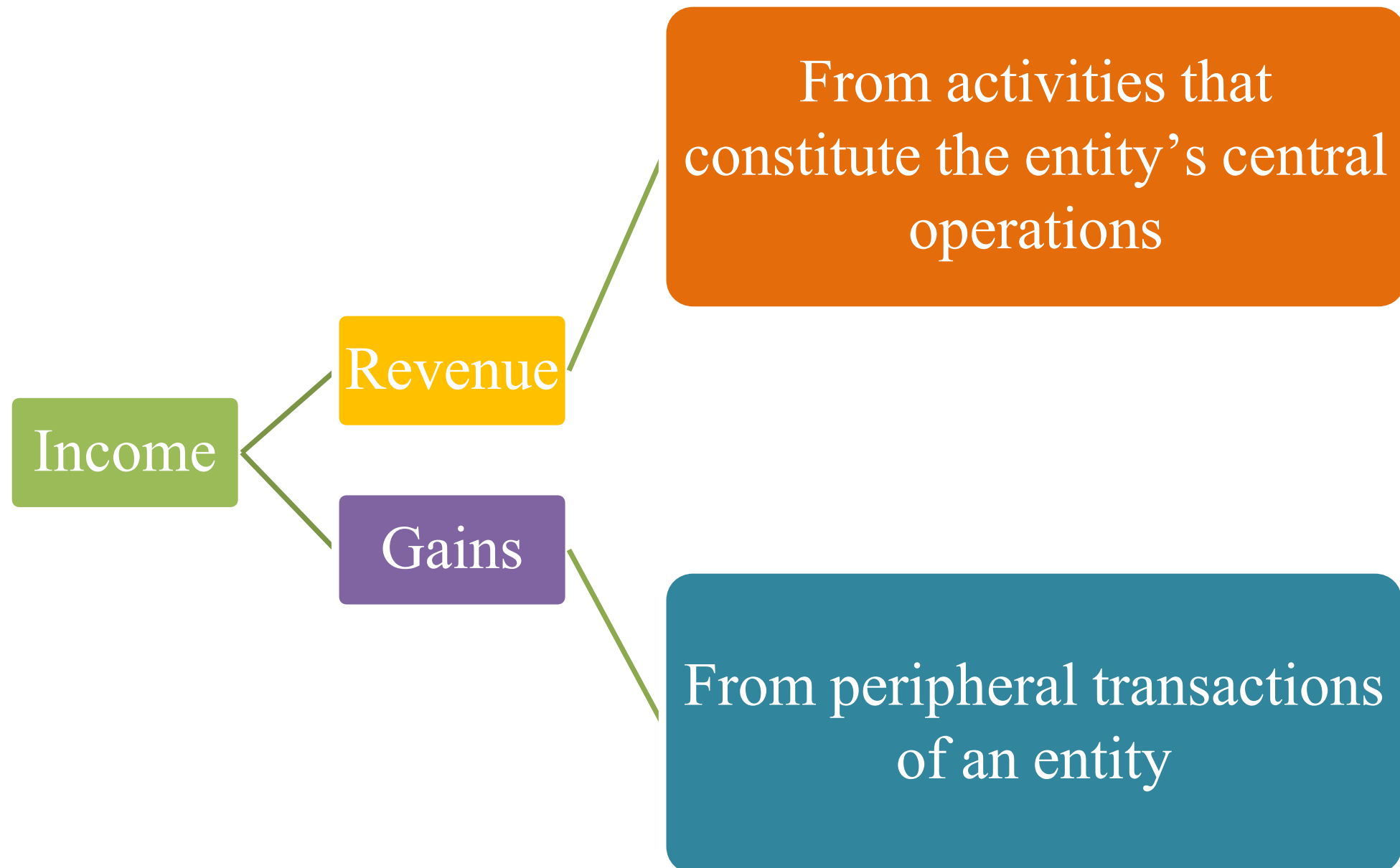


Income



Income is increases in assets, or decreases in liabilities, that result in increases in equity, other than those relating to contributions from holders of equity claims.

Income Classification



- The term 'revenue' means income earned in the course of normal business operations.
- In a statement of profit or loss, revenue and 'other income' are reported as separate items.

Expenses

Expenses consist of:

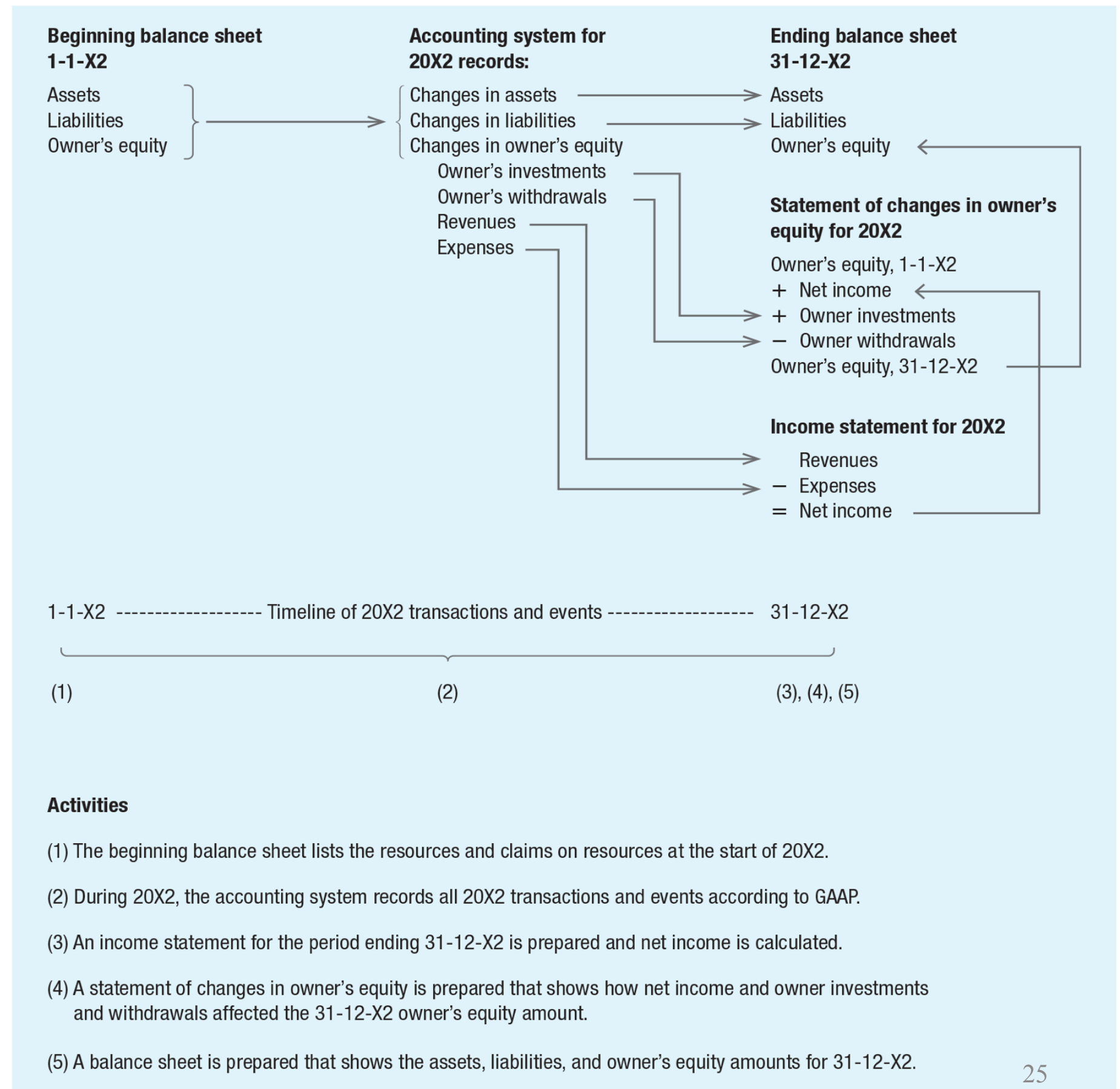
Expenses are decreases in assets, or increases in liabilities, that result in decreases in equity, other than those relating to distributions to holders of equity claims.

expenses arising in the ordinary course of activities, including the cost of sales, wages and salaries, the cost of the depletion of non-current assets, interest payable on loans and so on

losses arising from disasters such as fire and flood, losses from disposing off non-current assets for less than their carrying value.

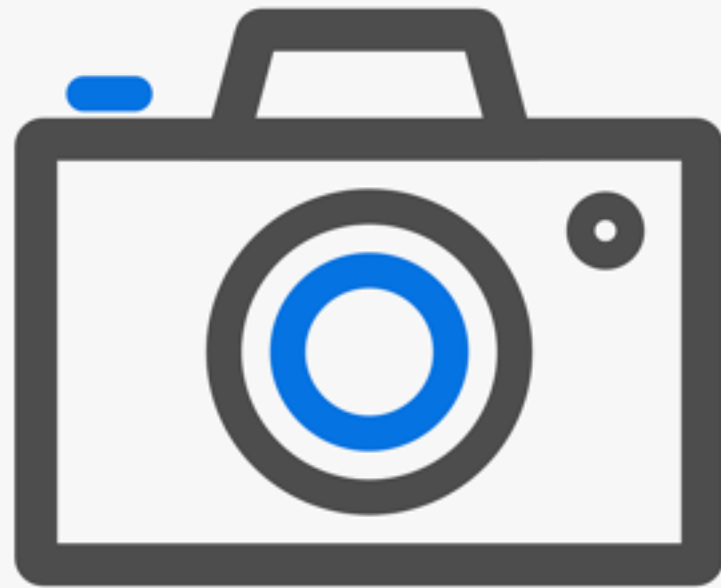
Relationship among Financial Statements

- The statement of profit or loss and the statement of financial position are separate statements but they are also related to each other.
- The statement of profit or loss ends with a figure for the net profit for the period. Profit belongs to the owner (or owners) of the business.
- It is therefore an addition to the owner's equity.
- Profit for the year is therefore added to owners' capital in the statement of financial position at the end of the year.



Recognition and Measurement of Elements in Financial Statements

Recognition



- The process of capturing for inclusion in the financial statements an item that meets the definition of an asset, a liability, equity, income or expenses.

Recognition Criteria

- For an element to be recognized in the financial statement, it must meet the fundamental recognition criteria of:

– **Relevance**

– **Faithful Representation**

*Recognition is appropriate if it results in both **relevant information** about assets, liabilities, equity, income and expenses and **a faithful representation** of those items, because the aim is to provide information that is useful to investors, lenders and other creditors.*

Measurement



- Putting monetary amount on an element of financial statement

Measurement Bases

Historical cost

- Based on acquisition cost or the original cost of the item

Fair value

- The price that would be received to sell an asset, or paid to transfer a liability, in an orderly transaction between market participants at the measurement date

Value in use (assets)/fulfilment value (liabilities)

- Reflects entity-specific current expectations about the amount, timing and uncertainty of future cash flows

Current cost

- The current amount that will be paid to acquire an equivalent asset or received to take an equivalent liability

Net Realizable (Settlement) value

- Based on the net amount that would be realised in the event of disposing off the item

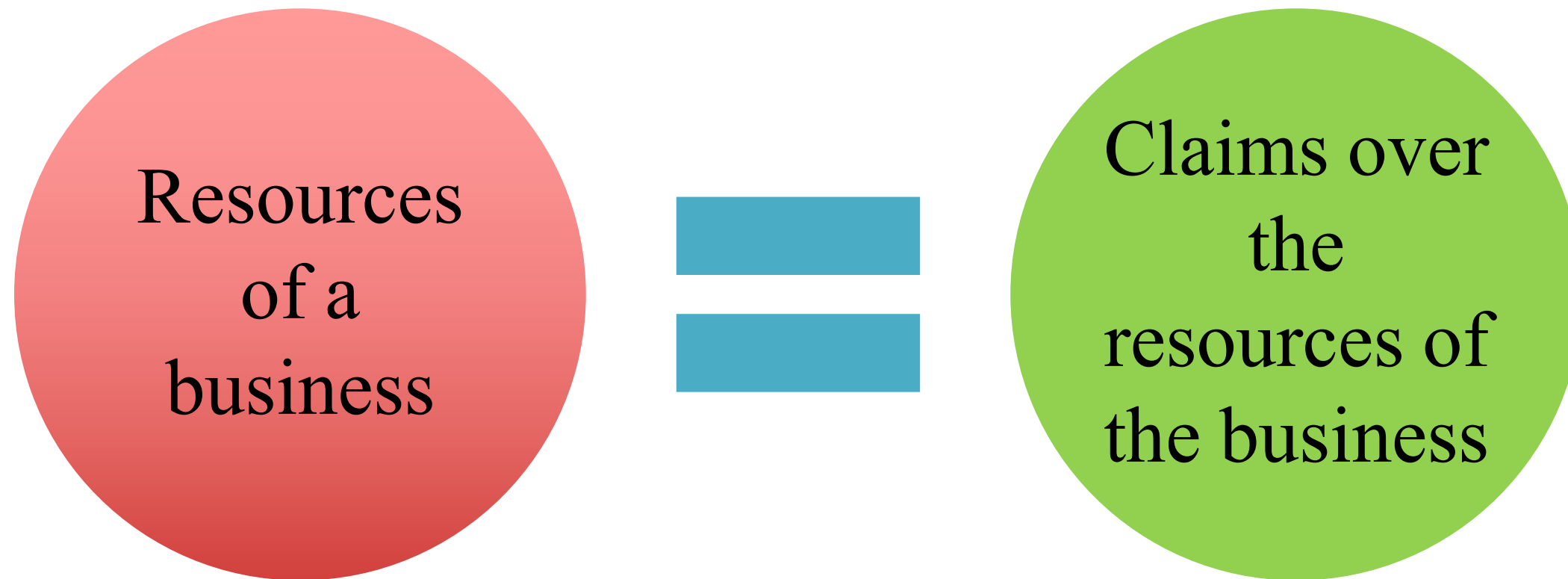
Present (Discounted) Value

- Based on the discounted future cash flows associated with the usage of the item

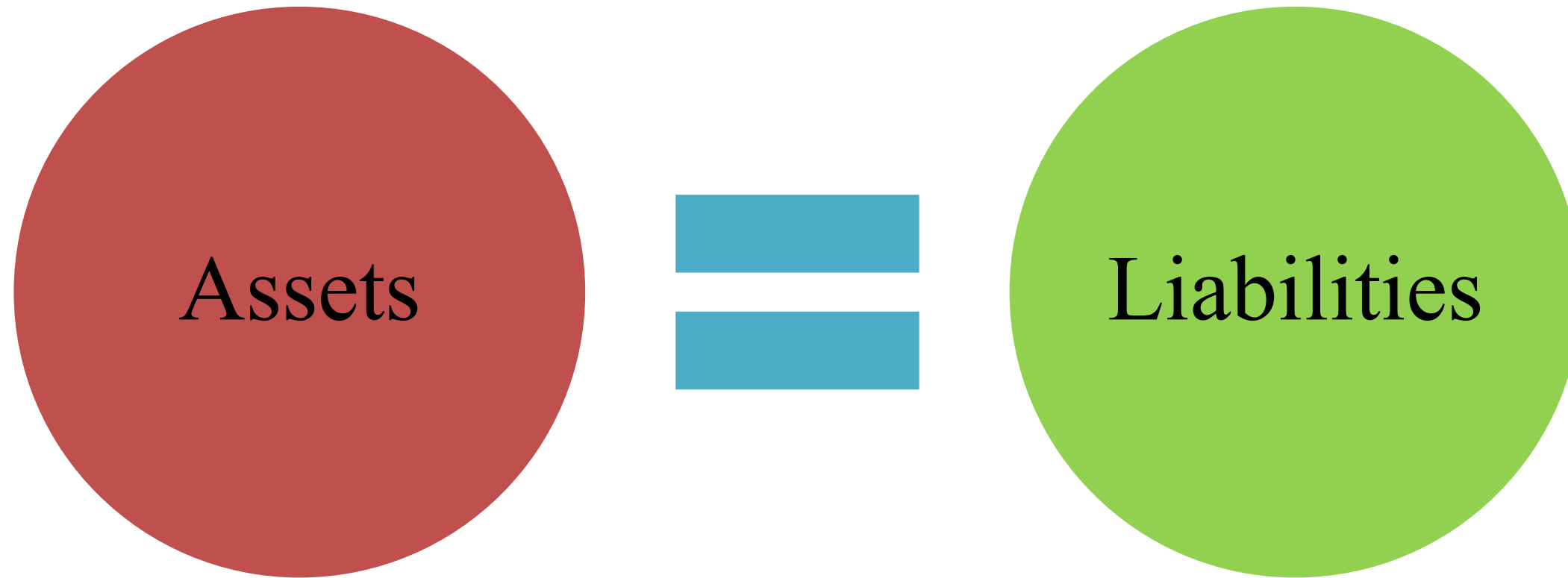
DOUBLE ENTRY AND ACCOUNTING EQUATION

ACCOUNTING EQUATION

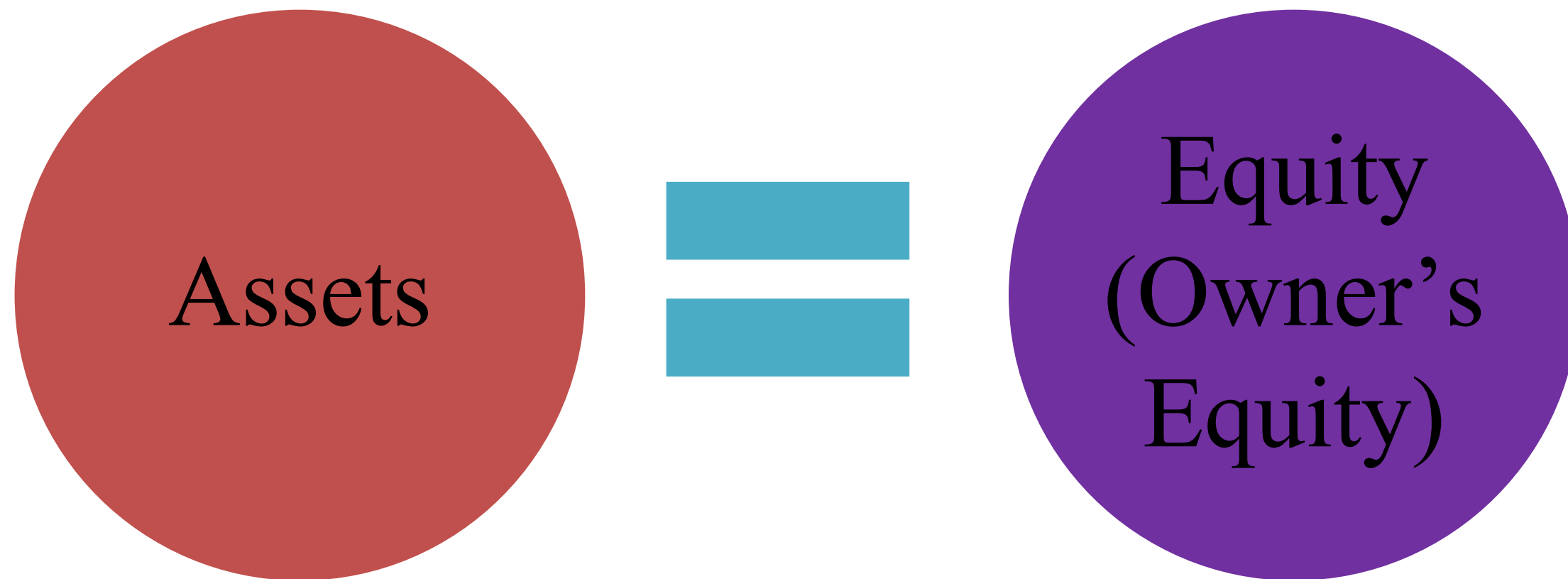
Financial accounting is based upon a simple idea known as Accounting Equation



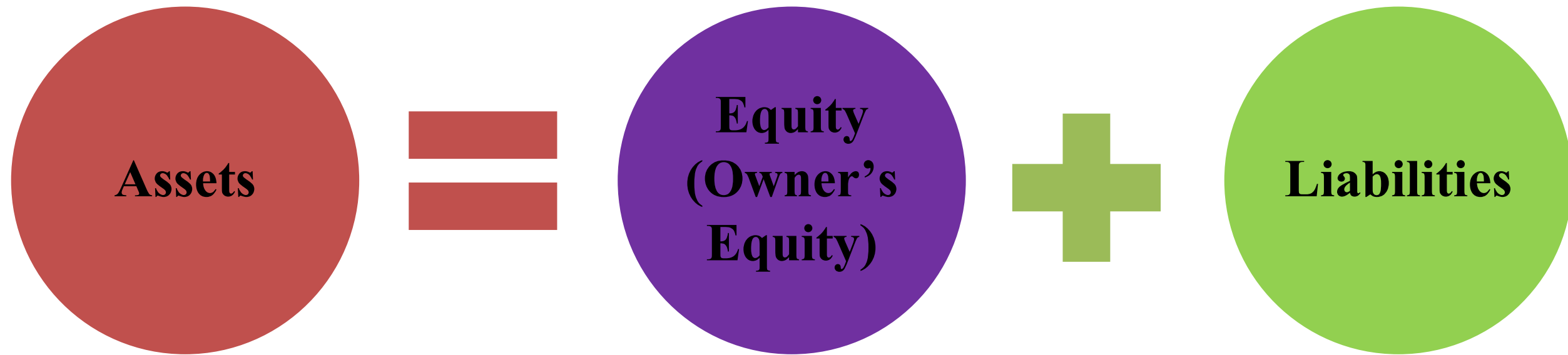
ACCOUNTING EQUATION



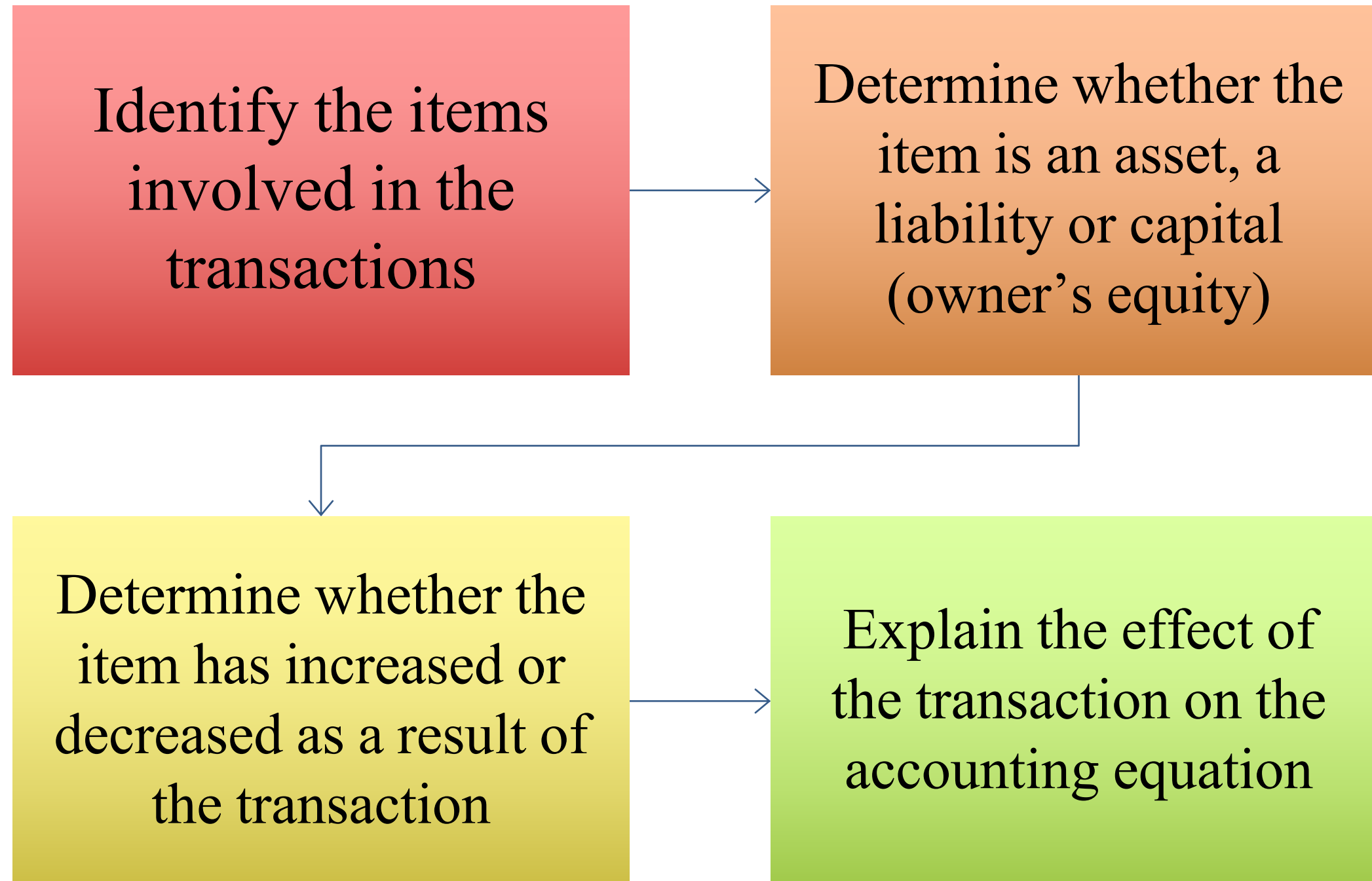
ACCOUNTING EQUATION



ACCOUNTING EQUATION

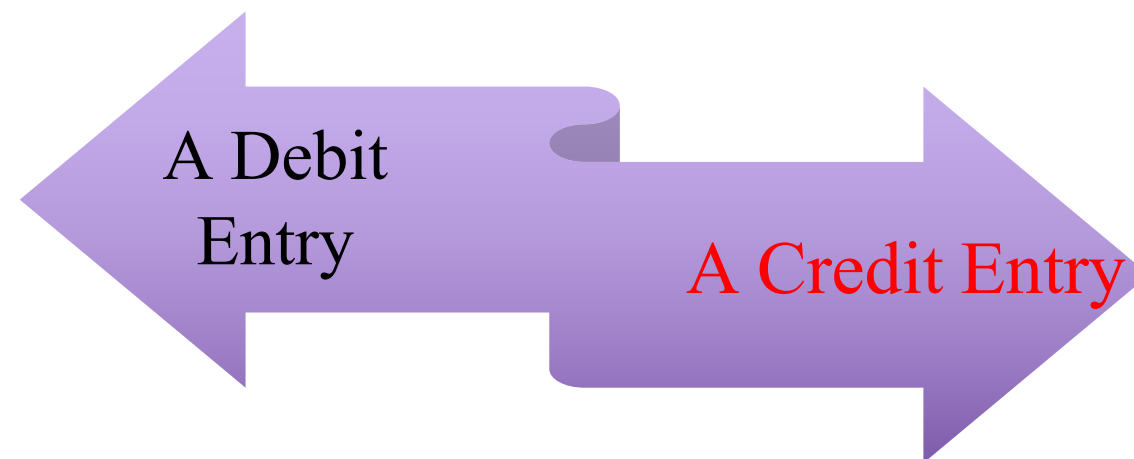


EFFECTS OF TRANSACTIONS ON ACCOUNTING EQUATION



DOUBLE ENTRY PRINCIPLE

- All transactions affect two items.
- Accounting shows the effect of the transactions on the two items by:
 - a debit entry (left of a/c)
 - a credit entry (right of a/c)
- Each transaction must have a debit and corresponding credit entry



SUMMARY OF DOUBLE ENTRY PRINCIPLES

Accounts	To record	Entry in account
Asset	Increase Decrease	Debit Credit
Expense	Increase Decrease	Debit Credit
Liability	Increase Decrease	Credit Debit
Equity	Increase Decrease	Credit Debit
Revenue	Increase Decrease	Credit Debit

Statement of Financial Position

As at 31 December 20XX

Current assets

Cash on hand	\$	4 000	
Cash in bank		<u>6 800</u>	\$10 800

Non-current assets

Store equipment	28 000		
Less Acc depn	<u>10 000</u>	<u>18 000</u>	

Total assets **28 800**

Current liabilities

Accounts payable	8 000	
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Non-current liabilities

Bank loan	10 000	
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Total liabilities **18 000**

Net assets **\$10 800**

Owner's equity

Capital	10 400	
Profit (loss)	<u>400</u>	

Total equity **\$ 10 800**

Statement of Profit and Loss and Other Comprehensive Income

For the Year Ended 31 December 20XX

Entity ABC

Statement of profit or loss for the year ended [date]

	\$	\$
Revenue		800,000
Cost of sales		(500,000)
Gross profit		<u>300,000</u>
Other income:		
Gain on disposal of non-current asset		<u>10,000</u>
		310,000
Expenses		
Employees' salaries	120,000	
Depreciation	10,000	
Rental costs	30,000	
Telephone charges	15,000	
Advertising costs	30,000	
Selling costs	40,000	
General expenses	20,000	
Interest charges	3,000	
Bad debts	<u>2,000</u>	
		(270,000)
Net profit		<u>40,000</u>

Cash Flow Statement

For the Year Ended 31 December 20XX

Cash flows from operating activities		
Cash inflows:		
Collections from customers	\$18 018	
Collections from interest	25	
Cash inflows from operating activities		\$18 043
Cash outflows:		
Payments to suppliers	\$ (1 430)	
Payments to employees	(2 050)	
Other operating payments	(1 146)	
Cash outflows for operating activities		(4 626)
Net cash provided by operating activities		\$13 417
Cash flows from investing activities		
Receipt from sale of shop equipment	\$ 440	
Net cash provided by investing activities		440
Cash flows from financing activities		
Withdrawals by owner	\$ (250)	
Net cash used for financing activities		(250)
Net increase in cash		\$13 607
Cash, 1 January 20X2		11 575
Cash, 31 January 20X2		<u>\$25 182</u>

Statement of Changes in Owner's Equity For the Year Ended 31 December 20XX

A. Cox, capital, 1 January 20X4	\$15 000
Add: Net income	(378)
	\$15 378
Less: Withdrawals	(50)
A. Cox, capital, 31 January 20X4	\$15 328